

RATING RATIONALE

4 Sep 2025

Indian Bank

Brickwork Ratings reaffirms the ratings for the Basel III Tier-II Bond (Series II) issues of Rs 1,000 Crores of Indian Bank and withdraws the rating for the Basel III-Tier II Bonds (Series I) of Rs. 500 Crores (present outstanding nil), on account of full redemption.

Particulars:

Instruments**	Amount Rs. Crs.		Tenure	Rating^	
	Previous	Present		Previous (9-Sep-2024)	Present
Basel III - Tier II Bonds (Series I)	500.00	0.00	Long Term	BWR AAA/ Stable (Reaffirmed)	Withdrawn
Basel III - Tier II Bonds (Series II)	1000.00	1000.00		BWR AAA/ Stable (Reaffirmed)	BWR AAA/ Stable (Reaffirmed)
Total	1500.00	1000.00	Rupees One Thousand Crores Only		

** Details of Bonds are provided in Annexure-II

^Please refer to BWR website www.brickworkratings.com/ for the definition of the ratings

Note: The aforesaid bonds were issued/raised by Allahabad Bank and, on amalgamation, transferred to Indian Bank.

RATING ACTION / OUTLOOK: REAFFIRMATION/ STABLE/ WITHDRAWAL

Brickwork Ratings (BWR) withdraws the rating for the Basel III Tier-II bond (Series I) amounting to Rs. 500 Crores (present outstanding nil), on account of full redemption at its maturity, and reaffirms the ratings at BWR AAA/Stable for the Basel III Tier-II bond (Series II) issues amounting to Rs.1,000 Crores of Indian Bank.

The rating reaffirmation continues to factor in the strong support of the Government of India, as the promoter and major shareholder with a 73.84% stake in Indian Bank as of 30 June 2025. The rating factors in the established market position, comfortable capital adequacy, and resource profile and improved profitability. The rating also factors in the moderate, albeit improving, asset quality. BWR maintains a Stable outlook for the bank as the bank's business risk profile is likely to remain unchanged over the medium term, indicating a low likelihood of a rating change over the medium term

The Withdrawal of Rating of Tier II Bonds - Basel III (Series I) amounting to Rs. 500 Crores (present outstanding nil), was on account of redemption in full upon its maturity in Jan 2025, as conveyed by the bank and confirmed by the DebentureTrustee. Withdrawal of Rating is in compliance with BWR Rating Withdrawal Policy.

The Stable outlook on the rating reflects that Indian Bank will maintain a steady growth in its business, manage its credit profile effectively and is expected to continue to improve upon its profitability.

KEY COVENANTS OF THE INSTRUMENT/FACILITY RATED:

The Unsecured redeemable non-convertible Basel III compliant tier II bonds (Series II) of Rs.1000 Crores were listed (ISIN INE428A08044), the coupon rate is 8.64%, and the maturity date is 20 Dec 2025. The interest is payable annually on 21 Dec every year till maturity.

Key Rating Drivers

Credit Strengths:-

- **Strong support and majority ownership of the Government of India:** The bank has high sovereign support, with the GOI holding 73.84% as of 30 June 2025. The GOI's support of public sector banks (PSBs) has always been of prime importance. As the key promoter-shareholder, the GOI has continued to support PSBs, even in times of distress, through various recapitalization plans announced over the years. The GOI's support to the bank in the form of capital infusion is expected to continue, given that the bank is one of the major PSBs in the country. The GOI is expected to provide capital support to the bank, as and when required, for business growth, as well as to strengthen the balance sheet to cover any asset-side risks.
- **Established track record and increase in the scale of operations:** Indian Bank was established on 15 August 1907, has an established operational track record of around eleven decades, and is among the large PSBs in India in terms of business and outreach. The total business size has been improving and stood at Rs. 13,45,436 Cr as of 30 June 2025 against Rs. 12,20,306 Cr. as of 30 June 2024, showing a Y-o-Y increase of 10.25%. The bank also reported a marginal growth of 1.52% in total business during Q1FY26 as compared to FY25. As of 30 June 2025, the Global deposits (Domestic & Overseas) grew by 9.26% Y-o-Y to Rs 744,289 Cr from Rs 681,183 Cr as of 30 June 2024, which also marginally improved from Rs 737,154 Cr as at the end of FY25. The increase in deposits from FY25 to Q1FY26 was on account of an increase in the Term deposits by ~Rs.. 12,873 Cr during Q1FY26, although the increase in deposits was partially offset by a decline in CASA deposits by ~Rs.. 5738 Cr during Q1FY26. The CASA deposits were Rs 277,116 Cr as of 30 June 2025. The Global Advances stood at Rs 6,01,147 Cr as of 30 June 2025, compared with Rs. 5,39,123 Cr as of 30 June 2024. Domestic deposits were 95.36 % of Global deposits as of 30 June 2025 whereas domestic advances were 92.47% of total advances. The domestic advances book was split up into Retail, Agri, MSME, and Corporate loans, which accounted for 22.25%, 25.93%, 17.16% and 34.66% respectively of total domestic advances as of 30 June 2025. The share of RAM advances was maintained at 64% levels as at the end of FY25, which increased to 65.34% as of 30 June 2025. The Bank has 5466 ATMs & Bunch Note Acceptors(BNAs) and 15080 Business Correspondents (BCs). The GoI's stake continued to be 73.84% as of 30 June 2025. The bank also has three overseas branches located in Singapore, Colombo, and Jaffna. Business of Rs 57955 Cr has been generated through Digital Channels in Q1FY26.

- **Comfortable capitalization:** The Bank's capital-to-risk-weighted assets ratio (CRAR) stood at 17.94% at the end of FY25 and was 16.44% as at the end of FY24. The bank maintained CRAR well above the minimum regulatory requirement of 11.5% (including capital conservation buffer of 2.5%). The Tier I Capital adequacy ratio improved to 15.85% at the end of FY25 as compared to 14.03% at the end of FY24. The Common Equity Tier 1 (CET 1) ratio was 15.36% at the end of FY25, an improvement from 13.52% at the end of FY24. As of 30 June 2025, the total CRAR of the bank was 17.80%, Tier I ratio was 15.74% and the Common Equity Tier 1 (CET 1) ratio was 15.26% as of 30 June 2025.

The bank's total capital to risk weighted asset ratio, the Tier I ratio and CET-1 ratio continued to remain strong and well above the regulatory requirements of a minimum Common Equity Tier-1 (CET1) capital ratio of 8.0% (including the capital conservation buffer of 2.5%), and a minimum Tier 1 capital ratio of 9.5%, a minimum total capital adequacy ratio (total CRAR) of 11.5% as of 30 June 2025.

- **Improvement in Profitability:** Net profit improved by 23.72% in Q1FY26 to Rs 2973 Cr from Rs 2403 Cr in Q1FY25 due to an increase in total income by 10.48% to Rs 18721 Cr supported 8.27% y-o-y increase in interest income to Rs 16283 Cr. Net interest income grew by 2.93% to Rs 6359 Cr in Q1FY26 as compared to Rs 6178 Cr in Q1FY25 due to an 8.27% rise in interest income in Q1FY26 from Q1FY25. However, NIM declined marginally by 21 bps to 3.23% from 3.44% in Q1FY25 due to a 12% increase in interest expenses. Cost-to-income ratio increased to 45.78% in Q1FY26 by 147 bps from Q1FY25 owing to a 12.42% increase in operating expenses, which outpaced the growth of total income (10.48%). ROE and ROA both improved in Q1FY26 from 19.76% and 1.2% respectively in Q1FY25 due to an improvement in net profit. Cost of deposit marginally increased y-o-y by 9 bps from 5.05% in Q1FY25, whereas Yield on Advance declined marginally by 11 bps to 8.58% in Q1FY26 as compared to 8.69% in Q1FY25.

Net profit rose by 35.41% y-o-y to Rs. 10,918 Cr in FY25 from Rs. 8,063 Cr in FY24, primarily driven by healthy growth in total income (+12.20% y-o-y) and a sharp reduction in provisioning costs (-52.02% y-o-y), partly offset by higher operating expenses (+7.70% y-o-y). Net interest income (NII) registered a growth of 8.17%, reaching Rs. 25,176 Cr in FY25 as against Rs. 23,274 Cr in FY24. However, with the increase in cost of deposits to 5.12% and a corresponding 13.87% rise in interest expenses during FY25, the Net Interest Margin (NIM) moderated to 3.41% in FY25 from 3.47% in FY24. The decline in NIM was partially cushioned by an improvement in yield on advances to 8.75% in FY25 (vs. 8.72% in FY24), despite the overall cost of funds rising to 5.21% in FY25. ROE and ROA improved in FY25 to 20.76% and 1.32% respectively, from 19.24% and 1.07% in FY24 due to improvement in net profit.

Credit Risks:-

- **Improving but modest Asset Quality:** The asset quality of the Bank continued to improve as Gross NPA (%) reduced by 76 bps on a YoY basis from 3.77% as of 30 June 2024 to 3.01% as of 30 June 2025 (on a q-o-q basis, GNPA improved from 3.09% as of 31 March 2025). The decline in the Retail and MSME sector GNPA in Q1FY26 contributed to the overall decline in NPA q-o-q, which,

however, was partially offset by an increase in NPA in the Agri sector and the corporate sector. The improvement in GNPA was further supported by the reduction in slippages by 4.24% q-o-q in Q1FY26 (Rs 1393 Cr in Q4FY25) and 30.81% y-o-y (Rs 1928 Cr in Q1FY25) to Rs 1334 Cr. Consequently, the slippage ratio declined to 0.94% in Q1FY26 (1.09% in Q4FY25 and 1.5% in Q1FY25). The slippages were majorly from the Agri sector, contributing 41.45% of total slippages in Q1FY26. Out of these slippages of Rs. 1,334 Cr, the Bank has recovered around Rs. 815 Cr during Q1FY26. Additionally, the increase in total cash recovery to Rs 1046 Cr including as of 30 June 2025, further aided the decline of GNPA.

Net NPA (%) improved by 21 bps on a YoY basis from 0.39% as of 30 June 2024 to 0.18% as of 30 June 2025 (improved from 0.19% on q-o-q basis). Provision Coverage ratio excluding Technical Write Off (PCR) increased to 94.27 % as of 30 June 2025 from 90.02% as of 30 June 2024 and 93.90% as of 31 March 2025, which indicates the Bank has sufficient provisions to withstand losses.

The Asset quality has improved over the years reflected by the Gross NPA and Net NPA ratio declining to 3.09% and 0.19% as of FY25 from 3.95% and 0.43% respectively as of FY24 (FY23:5.95% and 0.90% respectively) on account of write off and recoveries. This is also evidenced by the lower slippage ratio, which improved to 1.11% in FY25 from 1.49% in FY24. This is further backed by an adequate PCR ratio, which strengthened to 93.90% as of 31 March 2025 from 89.47% as of 31 March 2024.

ANALYTICAL APPROACH - Standalone

For arriving at its ratings, BWR has considered the standalone financial profile of Indian Bank and has applied its rating methodology as detailed in the Rating Criteria below (hyperlinks provided at the end of this rationale).

RATING SENSITIVITIES

Positive: Not applicable.

Negative: A reduction in government support and the GoI's stake in the bank falling below 51% could adversely impact the ratings and/or outlook. A substantial deterioration in Indian Bank's asset quality, impacting significantly on the profitability and capitalization metrics, could be the key rating sensitivities

LIQUIDITY POSITION - ADEQUATE

The Bank's overall liquidity profile remains adequate with no negative cumulative mismatches in the near to medium term as per their asset liability management statement as of 31 Mar 2025. The LCR of the bank as of 31 March 2025 was 126.62% and as of June 30 2025, was 137.44%. As of 30 June 2025, Cash and balance with RBI stood strong at Rs 33106 Cr as of 30 June 2025 (increased from Rs 31948 Cr as of 31 March 2025) and balances with banks at Rs 20358 Cr (declined from Rs 22920 Cr as of 31 March 2025). As of 30 June 2025, cash and bank balances were Rs. 53464 Cr., investments were Rs. 233,467 Cr, and the borrowings were Rs. 53007 Cr.

COMPANY PROFILE

Indian Bank was established on August 15, 1907, as a part of the Swadeshi movement. The amalgamation of Allahabad Bank into Indian Bank has placed Indian Bank as the seventh-largest PSB with a total business of Rs 13.45 Lakh Cr as of 30 June 2025 as against Rs 13.25 lakh Cr as of 31 March 2025 (Rs 12.20 Lakh Cr as of 30 June 2024). As of 30 June 2025, the Bank had 5909 domestic branches, out of which 1,993 are Rural, 1,560 are Semi- Urban, 1,185 are Urban and 1,171 branches are in Metro Cities. The Bank has 5466 ATMs & Bunch Note Acceptors(BNAs) and 15080 number of Business Correspondents (BCs). The GoI's stake continued to be 73.84% as of 30 June 2025. The bank also has three overseas branches located in Singapore, Colombo, and Jaffna. Business of Rs 57955 Cr has been generated through Digital Channels in Q1FY26.

Shri Shanti Lal Jain, the previous Managing Director & Chief Executive Officer of Indian Bank, retired as of 31 Dec 2024. Mr Binod Kumar has been appointed as the new Managing Director and CEO of Indian Bank on 16 Jan 2025 for a period of three years. He was the executive director of Punjab National Bank. Shri Mahesh Kumar Bajaj, Executive Director of the Bank, demitted office on 30.06.2025 on superannuation. The bank had total (domestic & overseas) deposits of Rs. 7.44 lakh Cr and total (domestic & overseas) advances of Rs. 6.01 lakh Cr as of 30 June 2025. CASA ratio (domestic) was 38.97% in Q1FY26, reduced from 40.17% in Q4FY25.

KEY FINANCIAL INDICATORS – Standalone

Key Parameters	Units	FY 24	FY 25	3MFY26
Result Type		Audited	Audited	Unaudited (Reviewed)
Total Assets	Rs in Cr	792,619	873,411	895,503
Total Business	Rs in Cr	12,21,773	13,25,294	13,45,436
PAT	Rs in Cr	8063	10918	2973
CASA ratio (Domestic)	%	42.31	40.17	38.97
Gross NPA ratio	%	3.95	3.09	3.01
Net NPA ratio	%	0.43	0.19	0.18
PCR (Excluding technical Write-offs)	%	89.47	93.90	94.27
NIM	%	3.47	3.41	3.23
CRAR	%	16.44	17.94	17.80
Tier I Ratio	%	14.03	15.85	15.74

NON-COOPERATION WITH PREVIOUS RATING AGENCY IF ANY:

No non-cooperation rating with other Credit Rating Agencies.

RATING HISTORY FOR THE PREVIOUS THREE YEARS [including withdrawal and suspended]

S. N	Facilities	Current Rating (Sep 2025)			Rating History		
		Type	Amount (Rs in Cr)	Rating	2024 9 Sep 2024	2023 16 Nov 2023	2022 10 Nov 2022
1	Basel III - Tier II Bonds (Series I)	Long Term	0.00	Withdrawal	BWR AAA/ Stable (Reaffirmed)	BWR AAA/ Stable (Reaffirmed)	BWR AAA/ Stable (Reaffirmed)
2	Basel III - Tier II Bonds (Series II)		1000.00	BWR AAA/ Stable (Reaffirmed)			

COMPLEXITY LEVELS OF THE INSTRUMENTS: Highly Complex

For more information, visit www.brickworkratings.com/download/ComplexityLevels.pdf

Hyperlink/Reference to applicable Criteria:

- [General Criteria](#)
- [Approach to Financial Ratios](#)
- [Banks and Financial Institutions](#)
- [Capital Instruments issued by Banks and Financial Institutions](#)
- [Ratings of Entities based on Government Support](#)

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Indian Bank

ANNEXURE I

Details of Bank Loan Facilities rated by BWR:

Lender Name	Type of Facility	Long Term (Rs. Crs.)	Short Term (Rs. Crs.)	Total (Rs. Crs)	Total (Rs. Crs)	Complexity Level
NIL	NIL	NIL	NIL	NIL	NIL	NIL

ANNEXURE II (NCD/Bonds/CP/FDs) DETAILS

Instrument	Issuance date	Amount (Rs Crs)	Coupon Rate	Maturity Date	ISIN number	Complexity Level#
Basel III Tier II Bonds (Series I)	20 Jan 2015	0.00	8.78%	20 Jan 2025	INE428A08028	Highly Complex
Basel III Tier II Bonds (Series II)	21 Dec 2015	1000.00	8.64%	20 Dec 2025	INE428A08044	Highly Complex
Total		1000.00	Rupees One Thousand Crores Only			

Note: The Basel III Tier II Bonds (Series I) of Rs 500 Crs were redeemed on maturity (20 Jan 2025) as per the Debenture trustee

#For more information, visit www.brickworkratings.com/download/ComplexityLevels.pdf

ANNEXURE-III List of Entities Consolidated

Name of Entity	% ownership	Extent of consolidation	Rationale for consolidation
NA	NA	NA	NA

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